Litong Zhang (张历潼)

CONTACT INFORMATION

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EDUCATION

University of Southern California 2021 – 2027 (expected)
Marshall School of Business
Ph.D. in Finance and Business Economics

Duke University 2019 – 2021
M.A. in Economics
2019–2021 Duke Economics Master's Scholar Awards

University of Utah 2014 – 2018
B.S. in Finance and Mathematics
Magna Cum Laude

RESEARCH INTERESTS

Social Finance, Behavioral Finance, Cognitive Biases in Trading, Empirical Asset Pricing, High-Frequency Text Analysis, Large Language Models (LLM)

WORKING PAPERS

[1] Social Transmission of Reference-Point Thinking

– Abstract: We study whether social media discourse amplifies the disposition effect in equity markets. Using approximately 200 million StockTwits posts from 2008 to 2024, we construct a daily measure of the fraction of reference-point language that is gain-framed as classified by an LLM-supervised text model, and show that gain-dominant discourse raises aggregate turnover in up-markets while loss-dominant discourse suppresses it in down-markets. The effect also operates through investors' cost-basis positions: at the stock level, this measure interacts positively with the capital gain overhang (CGO), and the finding is robust within firms over time. Overall, our results suggest that the social transmission of reference-point thinking is a state-dependent amplifier of the disposition effect at the aggregate level.

– Nov. 2025 – Present

[2] Memorable Expectations and Asymmetric Market Reactions to Earnings Surprises

– Abstract: This paper studies how the memorability of analyst expectations affects market reactions to earnings news. Using a large sample of analyst consensus forecasts and earnings announcements, I show that round-number forecasts create salient benchmarks that systematically alter how investors process earnings surprises. The main findings are threefold. [1] Firms with round-number consensus forecasts face a higher implicit performance hurdle: announcement returns are lower when earnings merely meet expectations. [2] At the same time, market reactions become more sensitive to the size of positive earnings surprises when expectations are anchored at round numbers, producing a steeper return–surprise relation on the positive side. [3] The attention attracted by memorable round forecasts spills over to other firms announcing earnings on the same day: non-round firms experience

weaker announcement reactions but subsequently exhibit stronger post-earnings drift, consistent with delayed price adjustment. Together, these results suggest that salient expectations reshape how earnings information is incorporated into prices. Round-number forecasts create memorable benchmarks that concentrate investor attention on announcement day—generating asymmetric price reactions at the event—while simultaneously producing delayed price incorporation (drift) in the cross-section of non-round firms. Both patterns yield predictable, calendar-based return dynamics that are exploitable for short-horizon alpha generation.

– Jun. 2024 – Present

[3] Memorability and Disposition Effect

– Abstract: This paper investigates the effect of memory-induced attention on investor behavior, particularly focusing on the disposition effect, which is the tendency to sell winning investments while holding onto losing ones. Drawing from associative memory theories (Bordalo, Gennaioli and Shleifer, 2020), this study shows that round numbers in stock prices serve as memorable cognitive reference points that amplify the disposition effect. This finding is robust across various specifications, highlighting the psychological impact of price roundness on trading behavior. The results underscore the critical role of reference point memorability in influencing the disposition effect, offering insights into investor psychology and trading decision mechanisms in financial markets.

– Jun. 2023 – Present

[4] Social Gathering and Amplified Familiarity Bias

– Abstract: This paper investigates the causal role of contemporaneous social interaction in mutual fund managers' portfolio choices. Using manually collected information on the Top 30 MBA networks of alumni reunion cohorts, I show that mutual fund managers connected to senior officers (defined as CEO, CFO, and Chairman) at firms increase connected holdings following the MBA alumni reunions. My stock-level performance tests show fund managers do not achieve any significant positive returns on these connected positions following reunion events. My results are in favor of the familiarity hypothesis. Specifically, an increase in contacts leads to a notable surge in buying behavior, despite the absence of superior returns. These findings highlight the role of social networks as channels for the formation of behavioral bias.

– Sep. 2022 – Present

PRESENTATIONS

2024–2025

– USC Marshall ($\times$ 2)

2022–2023

– Conferences: USC Finance PhD Miniconference

HONORS & AWARDS

Duke Economics Master's Scholar Awards, 2019–2021
Magna Cum Laude, University of Utah 2018

TEACHING

Sole Instructor, USC Marshall

– ECON 351 Microeconomics for Business, Undergraduate Core — Fall 2024
Evaluation: 3.68/4.00 (60 students)

Teaching Assistant, USC Marshall

– GSBA 602 Selected Issues in Economic Theory I, PhD Core (Anthony Marino) — Fall 2023
– GSBA 612 Selected Issues in Economic Theory II, PhD Core (Odilon Câmara) — Spring 2024

SERVICE

Organizer: USC Finance PhD Conference 2024, 2025

OTHER EXPERIENCE

Research Assistant to David Hirshleifer, USC Marshall	2022 – Present
Research Assistant, Duke Fuqua – Research Assistant to Alon Brav – Research Assistant to Sharon Belenzon	2019 – 2021
Research Assistant to Matthew Ringgenberg, University of Utah	2019 – 2021
Research Assistant to Elena Simintzi, UNC Kenan-Flagler	2019 – 2021

OTHER INFORMATION

Programming: Python, R, Stata, SAS, SQL
ML/Tools: PyTorch, HuggingFace Transformers, DeBERTa, GPT API (OpenAI), scikit-learn, LLM fine-tuning & prompting
Data: CRSP, Compustat, WRDS, I/B/E/S
Languages: Chinese (Mandarin, native), English (fluent)
GRE: 334 (V 167, Q 167, AW 4.0)

REFERENCES

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